

Project Initialization and Planning Phase

Date	28 June 2026
Team ID	SL-2026-02
Project Name	Smart Lender – Loan Eligibility Prediction Using Machine Learning
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement Template):

Problem Statement Summary

Many loan applicants face uncertainty about whether their applications will be approved because multiple factors such as income, employment status, credit history, education, loan amount, and property area affect the decision. Financial institutions also spend significant time manually evaluating these applications. Therefore, there is a need for a Machine Learning-based Smart Lender system that can accurately predict loan eligibility, reduce processing time, improve decision-making, and enhance customer satisfaction.

Statements:

Problem Statement	I am (Customer)	I'm trying to	But Because	Which makes me feel	Problem Statement
PS-1	A salaried employee applying for a personal loan.	Check whether I am eligible for a loan before applying.	I am unsure whether my income, credit history, and financial profile meet the bank's requirements.	Confused and worried about loan rejection.	PS-1
PS-2	A self-employed business owner.	Obtain a business loan to expand my business.	My income varies every month, making eligibility difficult to predict.	Uncertain about the approval process.	PS-2
PS-3	A first-time home loan applicant.	Get quick loan approval with minimum paperwork.	I do not know which financial factors influence loan approval.	Stressed and anxious during the application process.	PS-3
PS-4	A bank loan officer.	Evaluate loan applications accurately and efficiently.	Manual verification is time-consuming and prone to human errors.	Overloaded with repetitive work and delays.	PS-4